

2024 Financial Fraud Statistics

Financial fraud is increasing for banks, fintechs, and credit unions.

Of US-based financial institutions:

Over 1/2

say fraud has increased in business accounts

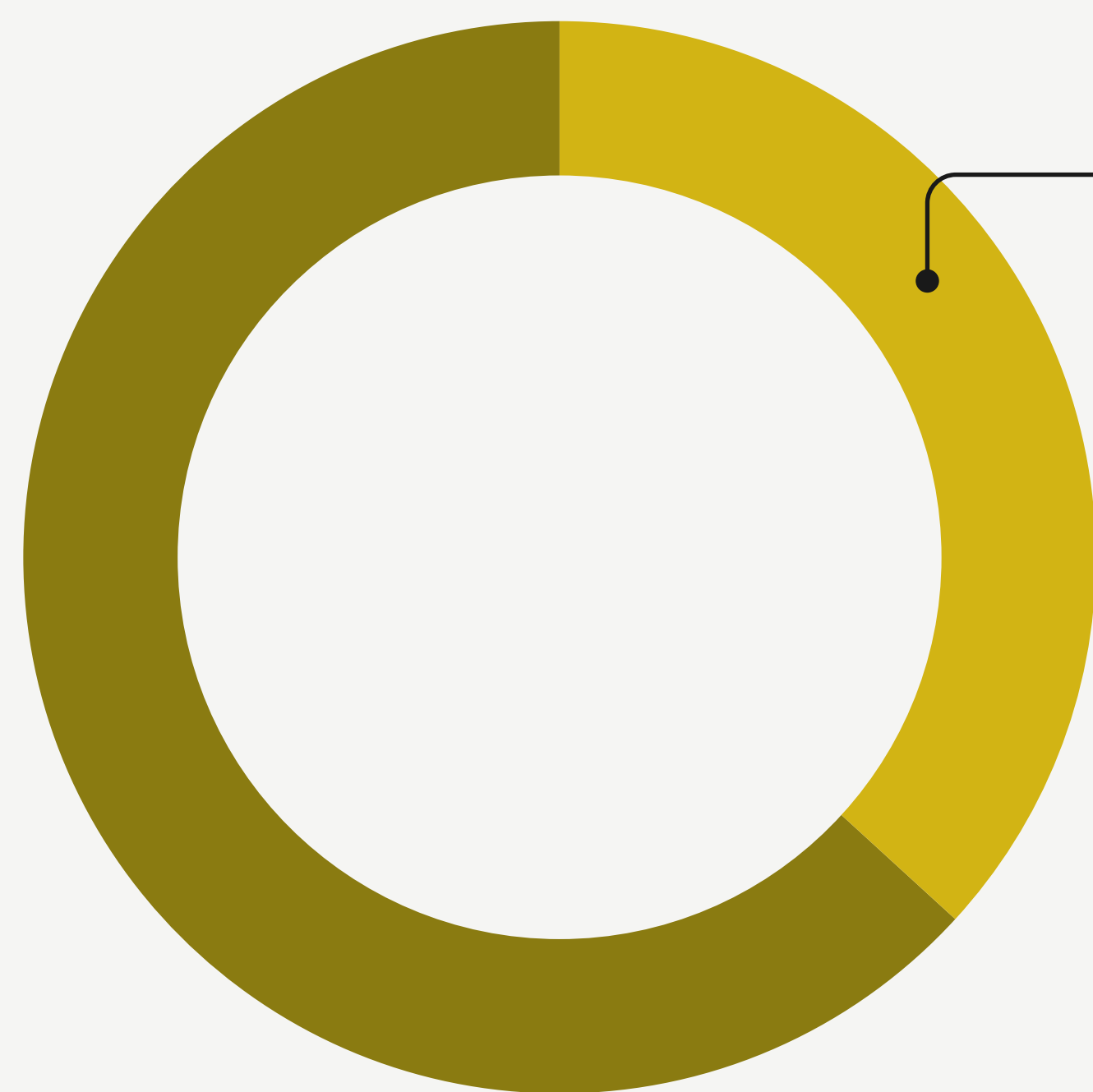


Over 2/3

say fraud has increased in consumer accounts



Alloy, 2024 Fraud Report



35% of banks and fintechs experienced 1000+ fraud attempts in the last year.

1 in 10 report 10,000+ fraud attempts.

Alloy, 2024 Fraud Report

Suspicious Activity Reports (SARs) are up YoY.

2022 4.3M

2023 4.6M

Roughly 39% or 1.8M total SAR activities recorded last year were directly attributed to fraud.

* The Financial Crimes Enforcement Network (FinCEN) requires SARs be filed within 30 days of suspicious activity.

FinCEN, Year in Review for Fiscal Year 2023

In 2024, the most common fraud types reported by banks and fintechs were:



Bust-out fraud



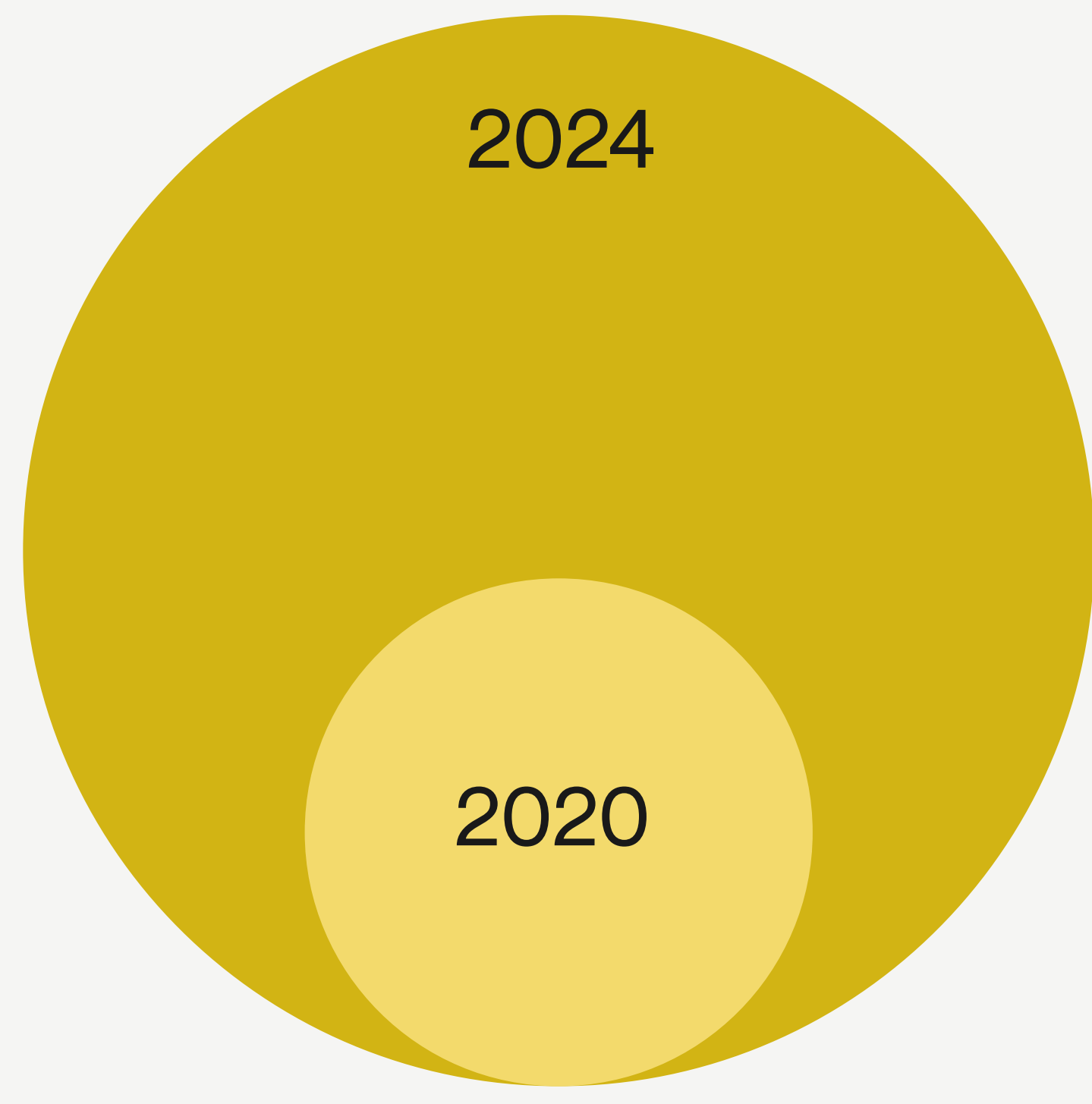
APP fraud



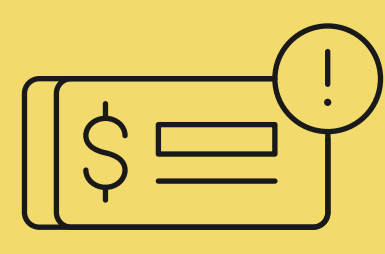
Account takeover fraud

These types of fraud also resulted in the most documented financial loss.

Alloy, 2024 Fraud Report



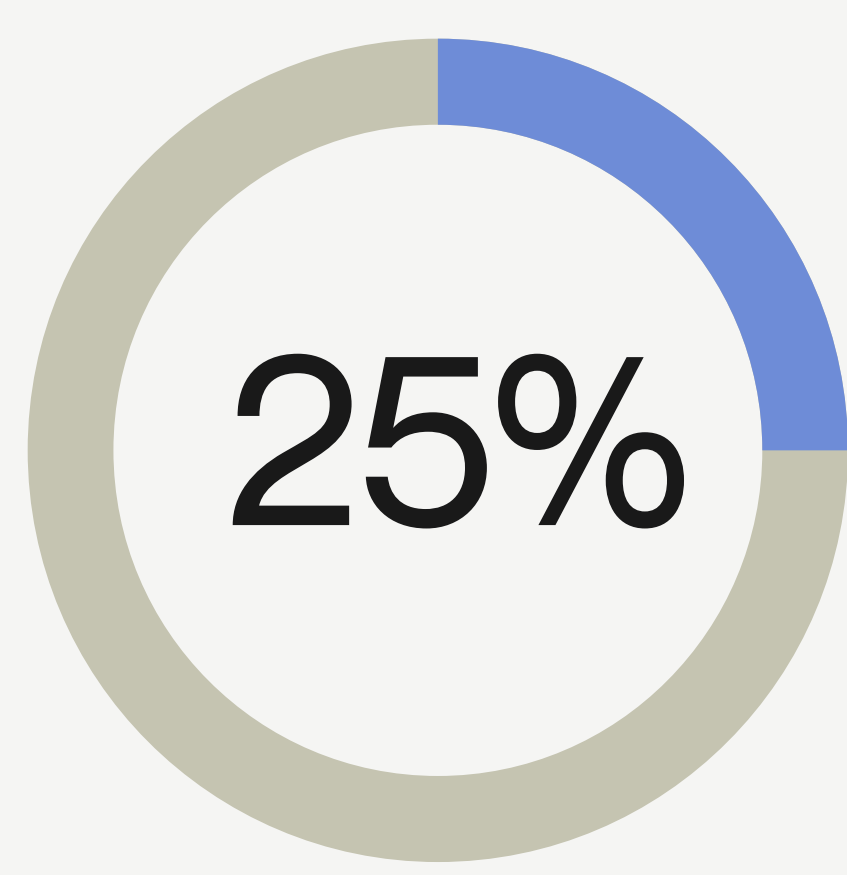
Check fraud has grown 2x more prevalent in the last 4 years.



1 in 5 SAR reports involve check fraud.

Despite advancements in fraud tactics, classic fraud tactics aren't going away.

Thompson Reuters

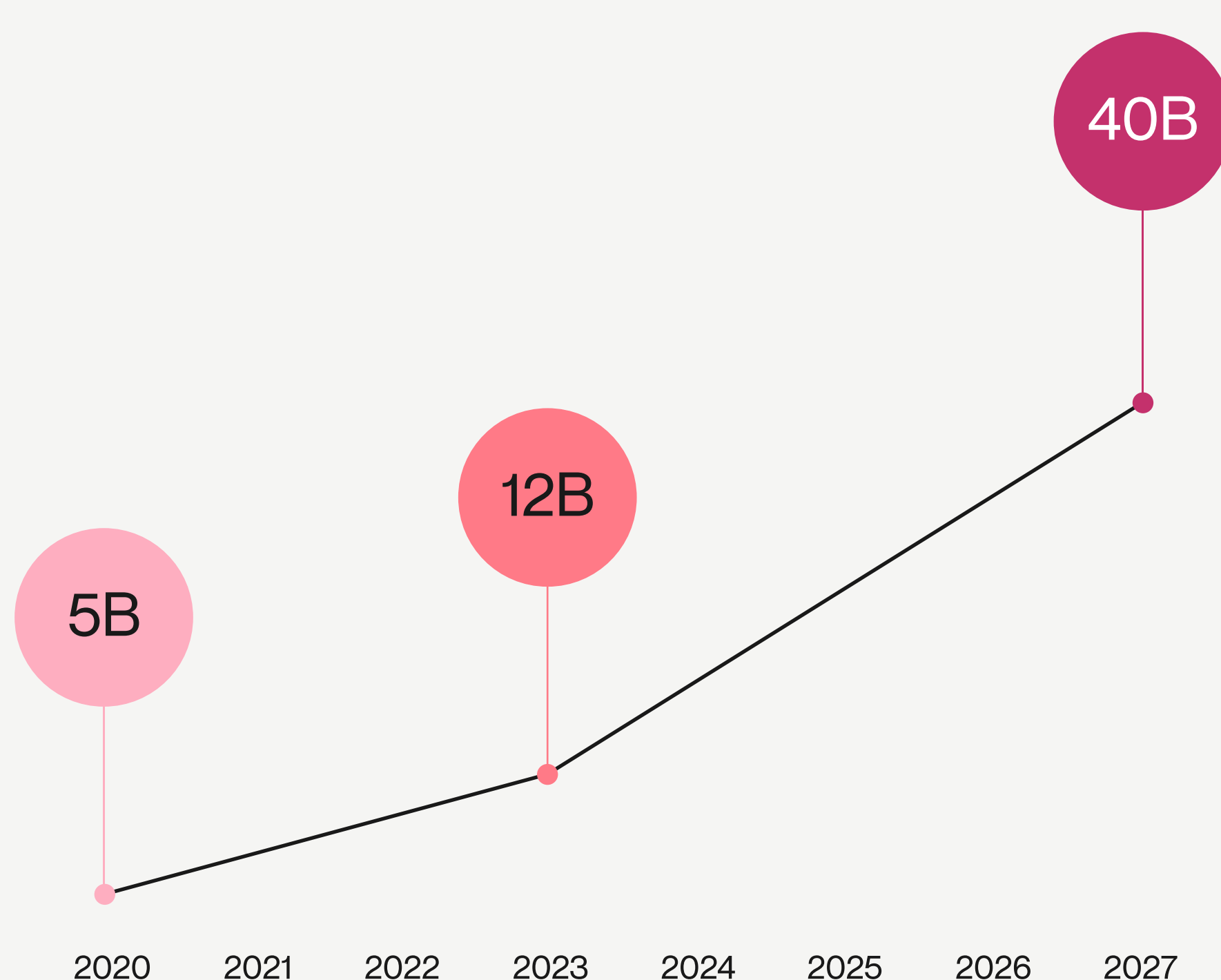


25% of banks and fintechs report losing \$1M or more due to fraud over a 12-month period.

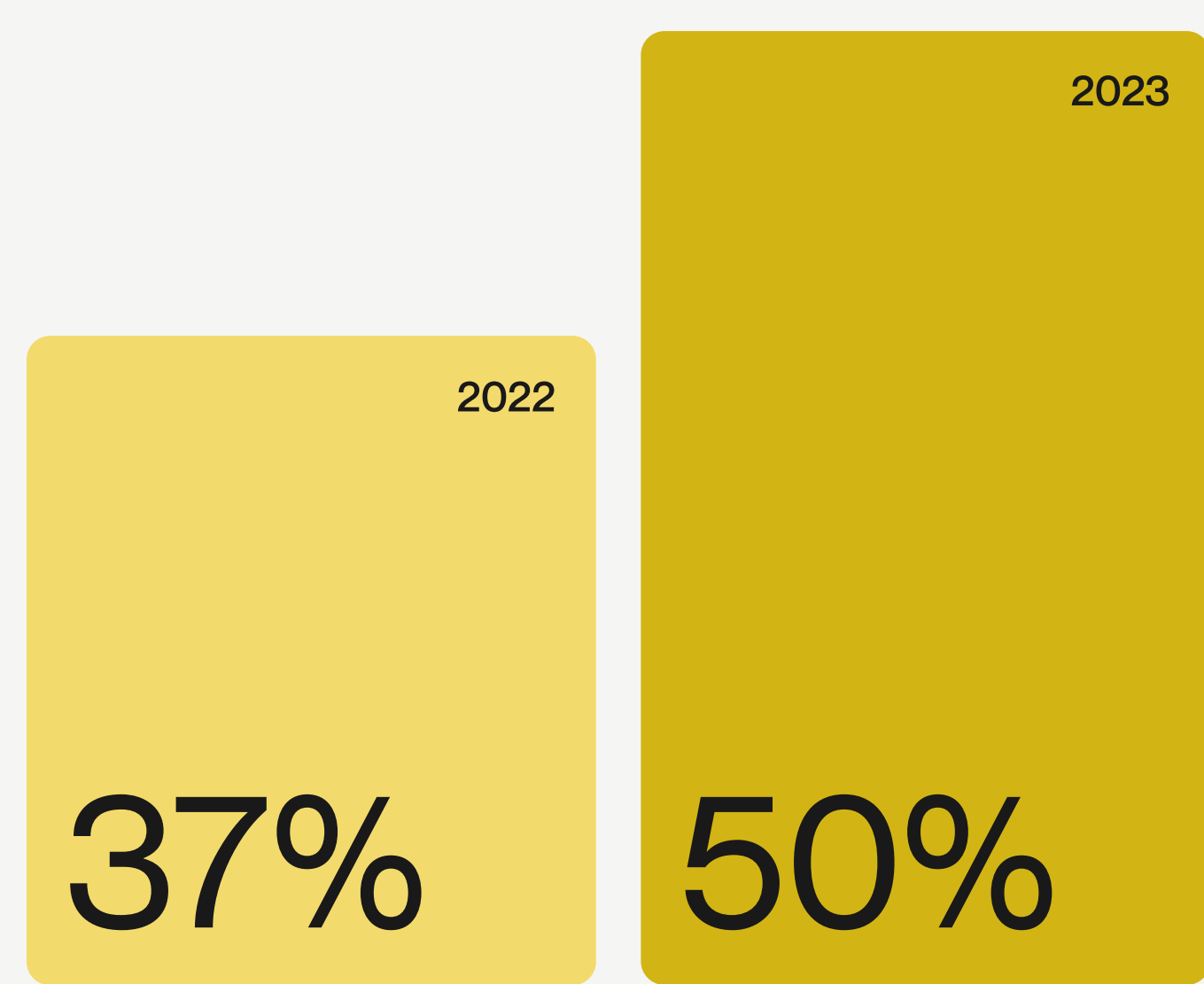
Meanwhile, consumers report over \$10B in cumulative fraud losses.

Alloy, 2024 Fraud Report & Federal Trade Commission (FTC)

By 2027, advances to Gen AI will cost banks an estimated \$40 billion in fraud losses.



Deloitte

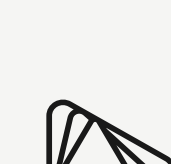


Last year, knowledge-based authentication (KBA) use grew from 37% to 50%

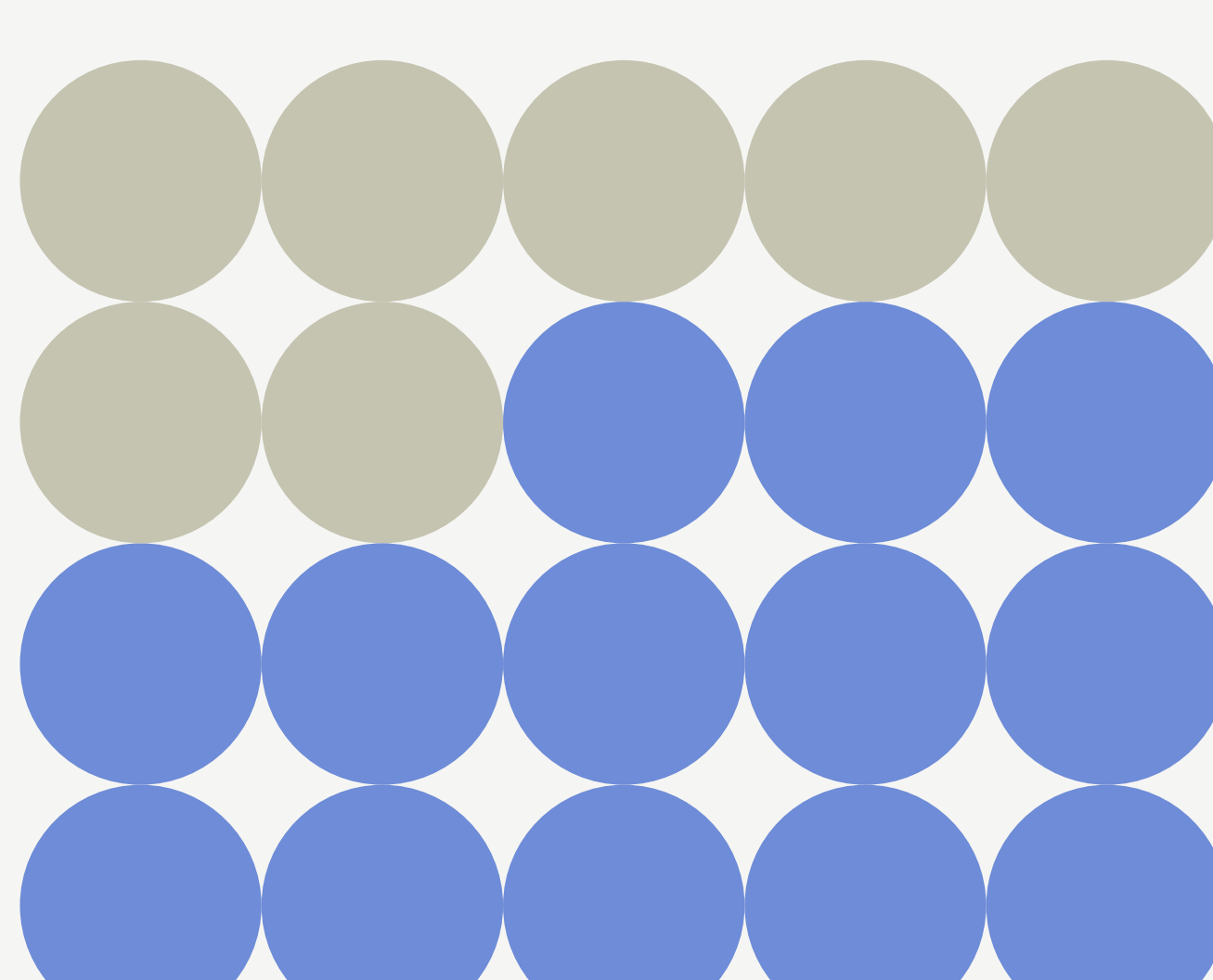
However, the growing availability of information online has made it easier for fraudsters to breach KBA.

Alloy, 2024 Fraud Report

Over half of banks and fintechs are increasing investment in third-party fraud prevention.



and 3 out of 4 plan on investing in an Identity Risk Solution.



Alloy, 2024 Fraud Report

Learn more about our research: alloy.com/state-of-fraud-benchmark-report-2024